TEACHER GUIDE

Cambridge International AS & A Level Business (9609)

Pricing

3 Marketing (AS Level)
3.3 The marketing mix · 3.3.4 Pricing methods



A revision lesson. Pupils run a car dealership in firms of four and revise pricing on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 Mark-up to margin

Round 1

Mark-up or margin?

Margin, as % of the price? Nearest whole %.

Full cost per car	**£10,000**
Your mark-up	**25%**

ANSWER

20%

£2,500 ÷ £12,500 = 20.0%

Why: The same profit is a bigger share of the cost than of the price.

2 Inelastic demand

Round 1

Demand is price inelastic. You raise your prices by 10%.

Which two are most likely?

- **A** Revenue falls
- **B** Sales fall by less than 10%
- **C** Sales fall by more than 10%
- **D** Revenue rises
- **E** Revenue does not change

ANSWER

✓ Sales fall by less than 10%
✓ Revenue rises

Why: Inelastic: sales fall by less than the price rise, so revenue rises.

3 Rank by elasticity

Round 2

Three price rises and what happened to sales.

Most elastic first (% sales fall ÷ % price rise)?

- **A** Price up 20%, sales down 20%
- **B** Price up 5%, sales down 10%
- **C** Price up 10%, sales down 5%

ANSWER

1. **Price up 5%, sales down 10%**
2. **Price up 20%, sales down 20%**
3. **Price up 10%, sales down 5%**

Why: PED = % change in sales ÷ % change in price: −2, −1, −0.5.

Topic tasks

4 Price to hit margin

Round 2

Price to hit your target.

Price with the 25% margin?

You pay per car	**£12,260**
Prep per car	**£490**
Target margin on the price	**25%**

ANSWER

£17,000

(£12,260 + £490) ÷ 75% = £17,000

Why: A 25% margin is a 33% mark-up on cost.

5 Cut the price?

Round 3

Price elasticity for your cars is −0.4. Sales are falling.

Should you cut the price, and why?

A Yes, cut the price

B No, keep the price

ANSWER

✓ No, keep the price

Why: At −0.4 a 10% cut adds only 4% sales, so revenue falls.

6 Profit change

Round 3

They buy 30 cars a month.

Change in monthly profit? Minus if below zero.

Price per car	**£8,000**
You pay per car	**£6,600**
Price cut	**10%**
Price elasticity of demand	**−2**

ANSWER

−£20,400

36 × £600 − 30 × £1,400 = −£20,400

Why: More cars sold did not make up for the lower price.

Final questions

Each pupil answers 6 final questions on pricing. They come from these 8 questions.

1. A dealer prepares a used car at a total cost of £6,400 and adds a 25% mark-up. What selling price does cost-plus pricing give?
   ✔ **£8,000**

2. A service costs the workshop £120 in labour and parts and sells for £168. What is the mark-up on cost?
   ✔ **40%**

3. A car listed at £9,500 is cut by 8% in a January sale. What is the sale price?
   ✔ **£8,740**

4. A dealer wants a 20% profit margin on the selling price of a car that cost £7,200. What price must it charge?
   ✔ **£9,000**

5. A new online car-buying service launches with prices well below established dealers to win customers quickly. Which pricing method is this?
   ✔ **Penetration pricing**

6. A dealer sets its servicing prices in line with the three other garages in town. Which pricing method is this?
   ✔ **Competitive pricing**

7. A workshop prices every repair at cost plus 30%. Rivals charge far less for simple jobs and it loses that work. What is the main weakness of its method?
   ✔ **It ignores customers and rivals**

8. After a year of penetration pricing a new dealer group has a large customer base. What is the usual next step?
   ✔ **Raise prices gradually towards rivals' levels**